

Financial Analysis | Endeavour Mining | Latest Period: Q1 2026 & FY 2025 | EPIC: EDV

Introduction

Endeavour Mining (EDV) is a multinational senior gold producer and the largest in West Africa, with operating assets across Senegal, Cote d'Ivoire, and Burkina Faso [1]. The current share price is trading around GBX 4,401 (approximately GBP 44.01) with a market capitalisation of GBP 10.64 billion [2]. This report provides an objective fundamental analysis based on the latest FY 2025 annual results, Q1 2026 operational updates, and ShareScope CSV analyst forecasts provided in the notebook sources.

Full Year Forecast Table

Note: The provided ShareScope CSV forecast data for 2026 provides full-year analyst consensus estimates rather than H1/H2 splits. Standardised estimates are given in US cents (c) and US dollars (\$) millions. "Your Forecast" and "ShareScope Est." columns are marked N/A as independent proprietary modelling data is unavailable in the sources.

Metric	H1 (Actual)	H2 (Forecast)	ShareScope Est.	Analyst Forecast (FY 2026)	Your Forecast	Variance (%)
Turnover (\$m)	N/A	N/A	N/A	8,020.6	N/A	+89.4%
PBT (\$m)	N/A	N/A	N/A	4,169.2	N/A	+136.5%
PBT (%)	N/A	N/A	N/A	N/A	N/A	N/A
EPS (c)	N/A	N/A	N/A	712.3	N/A	+120.5%
Dividend (c)	N/A	N/A	N/A	193.5	N/A	+33.5%
Dividend (%)	N/A	N/A	N/A	N/A	N/A	N/A
Operating Cash Flow	N/A	N/A	N/A	N/A	N/A	N/A
Free Cash Flow (\$m)	N/A	N/A	N/A	3,210.9	N/A	+227.8%
Net Debt (\$m)	N/A	N/A	N/A	-1,842.4 (Net Cash)	N/A	N/A

Data sourced from ShareScope Analyst Forecasts [3].

Detailed Analysis

P&L Analysis

- Turnover trends and growth drivers:** Driven by a record gold price environment and a full year of commercial production from the Sabodala-Massawa BIOX plant and Lafigue mine, FY2025 revenue surged 58% to \$4,233.9 million [4, 5]. This momentum carried into Q1 2026, with quarterly revenue reaching \$1,349.0 million on the back of realised gold prices averaging \$4,810/oz [6, 7]. Analyst forecasts project an 89.4% growth in FY2026 turnover to \$8,020.6 million [3].

- **Gross profit and margin analysis:** The company exhibits exceptional margin expansion. Earnings from mine operations expanded by 141% to \$2,093.5 million in FY2025 [4]. Adjusted EBITDA margin for Q1 2026 hit a record 65%, up 12 percentage points from Q4 2025 [8].
- **Operating profit performance:** Standardised operating expenses were well contained despite inflationary pressures, allowing Earnings from Operations to jump 345% to \$1,638.5 million in FY2025 [4].
- **PBT and net profit commentary:** Pre-Tax Profit (PBT) for FY2025 was \$1,343.3 million, up 1,079% from the prior year [4]. The business is highly profitable, with Adjusted Net Earnings reaching \$781.9 million in FY2025 and \$370 million in Q1 2026 alone [9, 10].
- **EPS implications:** Adjusted EPS for FY2025 was \$3.23 per share [9]. Q1 2026 saw an adjusted EPS of \$1.53 per share [10]. Analysts forecast FY2026 EPS to surge 120.5% year-on-year to 712.3c [3].

Balance Sheet Analysis

- **Net debt/cash position:** Endeavour has fundamentally transformed its balance sheet, rapidly deleveraging from a net debt position of \$731.6 million at the end of 2024 to \$157.5 million by the end of 2025 [11]. By the end of Q1 2026, the company successfully transitioned to a net cash position of \$405.4 million [10, 12].
- **Share count:** The average diluted share count for FY2025 was 247.5 million shares [13]. The company actively manages its share count through a Normal Course Issuer Bid (NCIB) buyback programme, repurchasing \$85.3 million worth of shares in 2025 and continuing into 2026 with \$54 million repurchased year-to-date by April [10, 14].
- **Pension liabilities:** No material pension liabilities were flagged in the provided accounting data.
- **Other material items:** Total assets at FY2025 year-end were \$5,606.8 million, with mining interests comprising \$3.8 billion of that value [15]. Available balance sheet liquidity currently sits at a very robust \$1,704 million [10].

Cash Flow Analysis

- **Operating cash flow trends:** Operating cash flow is robust, recording \$1,907.4 million (before working capital changes) in FY2025 [16]. In Q1 2026 alone, the firm generated \$829 million in operating cash flow before working capital changes [6].
- **Net cash movement:** The net movement in cash for FY2025 was an increase of \$69.1 million [16]. In Q1 2026, total cash generated continued to easily cover capital expenditures and dividend payments [17].
- **Opening and closing cash balances:** Opening cash for FY2025 was \$384.2 million, closing at \$453.3 million [16, 18]. By the end of Q1 2026, cash and cash equivalents surged to \$1,089.5 million [12].
- **Free cash flow:** Endeavour transitioned to a massive free cash flow generation phase in 2025, recording \$1,155.9 million in FCF [16]. Q1 2026 was a record quarter, delivering \$613 million in FCF (or \$2.53 per share) [6, 10]. Analysts forecast FCF to exceed \$3.2 billion in 2026 [3].

Management Commentary and Audit Notes

- **Post-period trading updates:** Q1 2026 results confirm the company is on track to meet full-year production guidance of 1,090 - 1,265koz at an AISC of \$1,600 - \$1,800/oz [19]. The Assafoou project Definitive Feasibility Study (DFS) was published, confirming a cornerstone asset with an after-tax NPV(5%) of \$5.1 billion at \$4,000/oz gold [20].
- **Going concern statements:** The Directors and auditors (BDO LLP) confirm a reasonable expectation that the Group has adequate resources to meet its liabilities and continue operations through at least December 2030 [18].

- **Material risks identified:** A fatal contractor accident was tragically reported at the Mana mine on March 6, 2026, leading to a comprehensive investigation and safety enhancements [19, 21]. Furthermore, the company navigated a CEO transition in early 2024 following the dismissal of the former executive [22].
- **Other director/auditor observations:** Management introduced a bold new shareholder returns programme spanning 2026-2028, committing to a minimum dividend of \$1.0 billion, with potential total returns exceeding \$2.0 billion if gold remains above \$3,000/oz [23].

Technical Analysis

- **Price action:** The current share price sits at GBX 4,401 [24], near the upper boundary of its 52-week range (GBX 2,020 - 5,360) [2].
- **Volume patterns and trends:** Over the past year, the stock has delivered a staggering 127% return [25], strongly correlated with the underlying breakout in spot gold prices.
- **Secondary indicators:**
 - **Moving Averages:** The 50-day Simple Moving Average (SMA) is GBX 4,618.95, and the 200-day SMA is GBX 4,038.25 [2]. The price trading above the 200-day SMA indicates a sustained long-term macroeconomic uptrend, though currently lagging slightly below the 50-day SMA, suggesting a mild short-term consolidation or pullback.
 - Note: Specific raw data for OBV, RSI, MACD, and Accumulation Index are unavailable in the provided CSV and reporting sources. Technical indicators cannot be fabricated from the source data.
- **Any other relevant technical observations:** Current broker consensus via Berenberg and others sets an average price target of GBX 5,700, representing significant further upside [26].

Overall Summary and Recommendation

Recommendation: BUY

Endeavour Mining (EDV) is exhibiting exceptional fundamental health. By capitalizing on record-high gold prices, the company has generated unprecedented Free Cash Flow (\$613m in Q1 2026 alone) and has swiftly eliminated its net debt to build a \$405m net cash fortress. With analyst forecasts projecting 2026 free cash flow to exceed \$3.2 billion and earnings per share to jump over 120%, the fundamental valuation is highly attractive.

Coupled with a guaranteed minimum \$1.0 billion dividend policy for 2026-2028 and an aggressive share buyback scheme, EDV offers a compelling mix of income yield and organic capital growth. The stock remains a strong **BUY** for investors seeking exposure to top-tier, cash-generative gold equities.

Risk Warning: Investing involves significant risks, including potential loss of entire investment. Values fluctuate and past performance does not guarantee future results. This analysis is not financial advice. Assess your financial situation, risk tolerance, and investment objectives carefully. Conduct your own research (DYOR) and consult an independent financial advisor before making decisions.

DYOR: Nina, Mick's AI Research Assistant (30th April 2026)
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